

KASNEB PASTPAPERS · CPA STUDY MATERIALS

Fundamentals of Management Accounting

Course: ATD — Accounting Technicians Diploma

Level: Level III

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Syllabus version: Based on the standard KASNEB ATD Level III Fundamentals of Management Accounting syllabus topics — cost classification, cost-volume-profit analysis, budgeting and standard costing basics. Authored from general management accounting knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. Management accounting versus financial accounting

Financial accounting produces statements (profit or loss, financial position) mainly for external users (investors, tax authorities, regulators), following prescribed formats and standards, focused on the past. **Management accounting** produces information mainly for internal users (managers), with no fixed format requirement, focused on supporting planning, control and decision-making — often forward-looking (budgets, forecasts) as well as backward-looking (variance analysis of what already happened).

2. Classification of costs

- **By behaviour:** **Fixed costs** remain constant in total regardless of activity level within a relevant range (e.g. rent); **variable costs** change in direct proportion to activity level (e.g. direct materials); **semi-variable costs** contain both a fixed and a variable element (e.g. a utility bill with a standing charge plus a usage-based charge).
 - **By element:** **Materials**, **labour**, and **expenses**.
 - **By traceability:** **Direct costs** can be traced specifically and economically to a particular product/service/department; **indirect costs (overheads)** cannot be so traced and must be shared/apportioned across multiple cost objects.
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3. Cost-volume-profit (CVP) analysis and break-even

CVP analysis examines how costs, sales volume and profit interact.

Contribution per unit = Selling price per unit – Variable cost per unit

Break-even point (units) = Total fixed costs ÷ Contribution per unit

Break-even point (sales value) = Break-even units × Selling price per unit

Margin of safety = Budgeted (or actual) sales – Break-even sales — the amount by which sales can fall before the business starts making a loss.

4. Marginal costing versus absorption costing

Marginal costing treats only variable production costs as part of the cost of a unit, with fixed production overheads treated as a period cost written off in full against the period's profit.

Absorption costing treats both variable AND a fair share of fixed production overheads as part of the cost of a unit, so fixed overheads are "absorbed" into inventory values and only hit profit as units are sold, rather than the whole amount hitting profit in the period incurred.

A key practical consequence: when production exceeds sales in a period (inventory increases), absorption costing generally reports a higher profit than marginal costing, because some fixed overhead is carried forward in the closing inventory value rather than being expensed immediately.

5. Budgeting, basics

A **budget** is a formal, quantified plan for a future period, expressed in financial and/or physical terms, used to plan operations, coordinate activities, communicate targets, motivate performance, and provide a benchmark for control (comparing actual results against budget). Common budgets include the **sales budget**, **production budget**, **materials/labour/overhead budgets**, and the **cash budget** (forecasting cash inflows and outflows, and the resulting cash position, over the budget period).

6. Standard costing and variance analysis, introduction

A **standard cost** is a predetermined, carefully estimated cost for a unit of output, set under specified operating conditions — used as a benchmark against which actual costs are compared. **Variance analysis** compares actual results to the standard/budgeted figures, computing a **variance** (the difference) for each cost element, then investigating the underlying cause. A variance is described as **favourable** (F) if it improves profit compared to standard (e.g. actual cost lower than standard) or **adverse** (A) if it worsens profit compared to standard (e.g. actual cost higher than standard).

7. Material and labour variances

Material price variance = (Standard price – Actual price) × Actual quantity purchased

Material usage variance = (Standard quantity for actual output – Actual quantity used) × Standard price

Labour rate variance = (Standard rate – Actual rate) × Actual hours worked

Labour efficiency variance = (Standard hours for actual output – Actual hours worked) × Standard rate

In each case, a positive result (using the formula direction shown) indicates a favourable variance; a negative result indicates an adverse variance.

8. The purpose of variance analysis

Variance analysis supports **management by exception** — rather than reviewing every single cost item in detail, management can focus attention specifically on significant variances (favourable or adverse), investigating their causes and taking corrective action where an adverse variance reveals a genuine, controllable problem (e.g. inefficient material usage, or a change in supplier pricing worth renegotiating). It's worth noting a favourable variance isn't automatically "good news" without investigation either — for example, a favourable material price variance from buying unusually cheap, lower-quality material might later cause an adverse usage variance through increased wastage.

9. Full worked question — break-even and margin of safety

Scenario. A company produces a single product with a selling price of KSh 500 per unit and variable cost of KSh 300 per unit. Total fixed costs are KSh 800,000 per month. Budgeted sales for the month are 5,000 units.

Required: (a) Compute the contribution per unit. (b) Compute the break-even point in units and in sales value. (c) Compute the margin of safety in units and as a percentage of budgeted sales.

Solution:

(a) Contribution per unit = $500 - 300 = \text{KSh } 200$

(b) Break-even units = $800,000 \div 200 = \text{4,000 units}$. Break-even sales value = $4,000 \times 500 = \text{KSh } 2,000,000$.

(c) Margin of safety (units) = Budgeted sales – Break-even sales = $5,000 - 4,000 = \text{1,000 units}$.

Margin of safety (%) = $(1,000 \div 5,000) \times 100 = \text{20\%}$ — meaning budgeted sales could fall by up to 20% before the company starts making a loss.

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB ATD examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

ATD LEVEL III — FUNDAMENTALS OF MANAGEMENT ACCOUNTING (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

*Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks.
Show all workings clearly.*

QUESTION ONE

- (a) Distinguish between financial accounting and management accounting. (8 marks)
 - (b) Distinguish between fixed, variable and semi-variable costs, giving one example of each. (9 marks)
 - (c) Distinguish between a direct cost and an indirect cost. (3 marks)
- (Total: 20 marks)
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QUESTION TWO

A company sells a product at KSh 800 per unit, with variable cost of KSh 480 per unit. Fixed costs are KSh 960,000 per month, and budgeted sales are 4,000 units.

- (a) Compute the contribution per unit. (3 marks)
 - (b) Compute the break-even point in units and sales value. (8 marks)
 - (c) Compute the margin of safety in units and as a percentage. (6 marks)
 - (d) Explain what the margin of safety tells management. (3 marks)
- (Total: 20 marks)
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QUESTION THREE

- (a) Distinguish between marginal costing and absorption costing in their treatment of fixed production overheads. (10 marks)
 - (b) Explain why absorption costing generally reports a higher profit than marginal costing when production exceeds sales in a period. (10 marks)
- (Total: 20 marks)
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QUESTION FOUR

A company's standard cost for material is KSh 25 per kg, with a standard usage of 4 kg per unit. During the month, 1,000 units were produced, using 4,300 kg of material actually

purchased at KSh 24 per kg.

(a) Compute the material price variance. *(6 marks)*

(b) Compute the material usage variance. *(8 marks)*

(c) State, for each variance, whether it is favourable or adverse. *(6 marks)*

(Total: 20 marks)

QUESTION FIVE

(a) Outline FOUR purposes a budget serves. *(12 marks)*

(b) Explain the concept of "management by exception" in relation to variance analysis, and why a favourable variance still deserves investigation. *(8 marks)*

(Total: 20 marks)

11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(8 marks)* — Financial accounting: external users, prescribed formats, historical focus. Management accounting: internal users (managers), no fixed format, focused on planning/control/decision-making, both forward and backward-looking.

(b) *(9 marks — 3 marks each)* — Fixed: constant in total regardless of activity (e.g. rent). Variable: changes in direct proportion to activity (e.g. direct materials). Semi-variable: contains both a fixed and variable element (e.g. a utility bill).

(c) *(3 marks)* — A direct cost can be traced specifically and economically to a particular cost object; an indirect cost (overhead) cannot and must be shared/apportioned.

QUESTION TWO

(a) *(3 marks)* — $800 - 480 = \text{KSh } 320$.

(b) *(8 marks)* — Break-even units = $960,000 \div 320 = \text{3,000 units}$. Break-even sales value = $3,000 \times 800 = \text{KSh } 2,400,000$.

(c) *(6 marks)* — Margin of safety (units) = $4,000 - 3,000 = \text{1,000 units}$. As a percentage = $(1,000 \div 4,000) \times 100 = \text{25\%}$.

(d) *(3 marks)* — It shows how far budgeted sales can fall before the company starts making a loss — a measure of the "cushion" between planned sales and the break-even point.

QUESTION THREE

(a) (10 marks) — Marginal costing treats fixed production overheads as a period cost, written off in full against the period's profit; absorption costing treats a fair share of fixed production overheads as part of unit cost, "absorbed" into inventory value and expensed only as units are sold.

(b) (10 marks) — When production exceeds sales, some units remain in closing inventory; under absorption costing, part of the period's fixed overhead is carried forward within that closing inventory value rather than being expensed in the period, so reported profit is higher than under marginal costing, which expenses the whole fixed overhead regardless of production/sales volume.

QUESTION FOUR

(a) (6 marks) — $(\text{Standard price} - \text{Actual price}) \times \text{Actual quantity} = (25 - 24) \times 4,300 = \text{KSh } 4,300 \text{ Favourable}$ (actual price was lower than standard).

(b) (8 marks) — $\text{Standard quantity for actual output} = 1,000 \times 4 = 4,000 \text{ kg}$. $(\text{Standard quantity} - \text{Actual quantity}) \times \text{Standard price} = (4,000 - 4,300) \times 25 = -300 \times 25 = \text{KSh } 7,500 \text{ Adverse}$ (more material used than standard allows).

(c) (6 marks) — Material price variance: **Favourable**. Material usage variance: **Adverse**.

QUESTION FIVE

(a) (12 marks — 3 marks each) — Planning operations; coordinating activities across departments; communicating targets; motivating performance (providing a control benchmark also acceptable).

(b) (8 marks) — Management by exception means focusing attention specifically on significant variances rather than reviewing every cost item in detail; a favourable variance still deserves investigation because it may result from a decision with a hidden downside elsewhere (e.g. cheaper, lower-quality material causing a later adverse usage variance through increased wastage).

12. Exam technique and revision checklist

- Always state the relevant formula explicitly (contribution, break-even, variance formulas) before substituting numbers — marks are awarded for correct method, not just the final figure.
- Break-even/margin of safety questions: compute contribution per unit first — almost every subsequent figure in this topic depends on it being correct.
- Marginal vs absorption costing: the key distinguishing point is the treatment of *fixed production overhead* specifically — always anchor your answer to that single distinction.

- Variance questions: always state clearly whether each variance is favourable or adverse, and be consistent with the sign convention you've used in your calculation.
- Budgeting/variance "explain the purpose" questions: name specific purposes (planning, coordination, communication, motivation, control) rather than a vague "it helps the business run better."

Quick revision — one line per topic:

1. Management accounting: internal, forward and backward-looking, no fixed format.
Financial accounting: external, historical, prescribed format.
2. Cost behaviour: fixed (constant total), variable (proportional to activity), semi-variable (both elements).
3. Contribution per unit = Selling price – Variable cost per unit.
4. Break-even units = Fixed costs ÷ Contribution per unit.
5. Margin of safety = Budgeted/actual sales – Break-even sales.
6. Marginal costing expenses all fixed overhead in the period; absorption costing carries some forward in inventory.
7. Material price variance = (Standard price – Actual price) × Actual quantity.
8. Material usage variance = (Standard quantity for actual output – Actual quantity) × Standard price.
9. Variance analysis supports management by exception — investigate significant variances, favourable or adverse.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.